

The Msunduzi Municipality

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Our Ref: SCM 20 OF 22/23

11 May 2023

Sithembe Transportation & Projects
19 Elizabeth Avenue, Milkwood Complex
Illovo Beach
4126

Attention: Muzi Lukhele (E-mail: tenderes@sithembe.co.za)

Tel No.: 012 880 3155 **Cell No.:** 073 124 1535

Dear Sir/Madam

CONTRACT No. SCM 20 OF 22/23

THE APPOINTMENT OF 5 TOP SCORING SMALL, MEDIUM AND MICRO ENTERPRISES INTO A PANEL TO PROVIDE GRASS CUTTING AND MAINTANANCE SERVICES FOR THE MSUNDUZI MUNICIPAL FACILITIES IN SUPPORT OF LOCAL ECONOMIC DEVELOPMENT

In connection with the above contract, I am pleased to advise you of the Msunduzi Municipality's acceptance of your tender dated 30 September 2022, at the terms and conditions, and rates stated therein. The Msunduzi Municipality notes the rates as tendered by your company. However, the Municipality has resolved to award the contract at the following rate (inclusive VAT):-

Item	Rate Per Square Meter.
Grass cutting on Municipal facilities	R0.55

The contract period shall be three (3) years effective from the date of award. Please note that appointment will be done in order of preference on an "as and when" required basis during the contract period.

The rates will remain fixed for the first year of the contract and thereafter subject to escalation based on CPIX

It must be noted that a Service Level Agreement (SLA) will be entered into, between the Msunduzi Municipality and Sithembe Transportation & Projects outlining all contractual agreements, prior to the commencement of any work for the duration of the contract.

Please note that your attention is specifically drawn to the provisions of Regulation 44 of the Municipal Supply Chain Management Regulations and the Msunduzi Municipality's Supply Chain Management Policy which prohibits any award to a person:

- "(a) who is in the service of the state;*
- (b) if that person is not a natural person, of which any director, manager, principal shareholder or stakeholder is a person in the service of the state; or*
- (c) who is an advisor or consultant contracted with the municipality or municipal entity."*

You are expressly advised that any award in contravention of the above would be in direct conflict with the aforesaid Legislation and shall be deemed void and without any legal effect.

The Msunduzi Municipality, its Officials and Agents therefore accept no liability whatsoever for any damages or losses you may suffer as a result of the cancellation, withdrawal, setting aside or as a result of any other steps taken by the Municipality to ensure compliance with the aforesaid provisions.

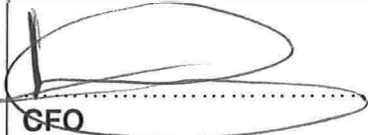
In addition, this award is made on the strict understanding, condition and agreement that you undertake to indemnify the Municipality against any and all direct or indirect damages, expenses and losses it may suffer or incur in enforcing compliance with the aforesaid provisions. Furthermore, this award is made on the understanding, condition and agreement that you undertake to indemnify and hold the Municipality harmless against any and all claims and demands from any Third Party whatsoever arising from or related to any award in contravention of the aforesaid regulations.

It must be noted that this Letter does not constitute an official Order. Your Company is to only effect delivery of any service once in possession of an official Order issued by the Msunduzi Municipality.

In regard to the above, please liaise further with the Project Champion, Simtholile Myeni on direct Telephone No. 033 392 2842 or e-mail address Simtholile.myeni@msunduzi.gov.za.

Please acknowledge receipt and acceptance of this Letter of Appointment by way of formal notification on your Company's Letter-head to the Municipality's Supply Chain Management Unit for the attention of Vuyani Msimang on e-mail address vuyani.msimang@msunduzi.gov.za.

Yours faithfully

Recommended  12/5/2023 SCM (Head) Date	Supported  12/05/2023 CEO Date
Approved  14/05/2023 City Manager Date	Authorized  Ministerial Representative Date

Cc Monitoring Officer: Supply Chain Management Unit
(Attention: All Officials)